

Indian Economy

Money, Banking and Market

Exam: UPSC CSE (Prelims)

1. Concept of Money

Tier: tier2 • Weightage: 4.0 • Total Qs: 0 • PYQs: 14 • Year span: 1998–2023 • Model: gpt-4.1 • Updated: 2026-01-07 14:02

TopicDemandMap: Indian Economy > Money, Banking and Market > Concept of Money

Explicit Subtopics Tested

1. Nature and Types of Money

- **Evidence:** [547 (2018), 2519 (2010)]
- **Description:** Questions test the understanding of what constitutes legal tender money and the concept of artificial currency (e.g., SDR).
- **Demand Type:** Definition recall, distinguishing between types of money, recognition of international monetary terms.

2. Liquidity and Forms of Money

- **Evidence:** [75 (2013), 711 (2020)]
- **Description:** Focus on the liquidity spectrum of various monetary assets (currency, demand deposits, time deposits, savings deposits) and the impact of transactions on aggregate money supply.
- **Demand Type:** Conceptual ordering, application to practical scenarios, understanding of monetary aggregates.

3. Money Supply and Money Multiplier

- **Evidence:** [631 (2019)]
- **Description:** Tests knowledge of factors influencing the money multiplier, especially the role of banking habits.
- **Demand Type:** Causal understanding, application of money supply concepts.

4. Digital and Crypto Forms of Money

- **Evidence:** [392 (2016), 970 (2022), 1093 (2023)]
- **Description:** Covers cryptocurrencies (e.g., Bitcoin), NFTs, and Central Bank Digital Currencies (CBDC), including their features, transaction mechanisms, and programmability.
- **Demand Type:** Contemporary awareness, distinguishing features, application of digital money concepts.

5. Interest Rates and Credit Terms

- **Evidence:** [7043 (2021)]
- **Description:** Understanding of nominal and real interest rates, and terms of credit.
- **Demand Type:** Definition recall, application to financial scenarios.

6. Financial Market Terminology Related to Money

- **Evidence:** [2507 (2010), 6892 (2016), 7053 (2016), 1094 (2023)]
- **Description:** Tests familiarity with terms such as "bear," "hot money," "hedging," and "beta" as they relate to money and finance.
- **Demand Type:** Definition recall, conceptual clarity, application in market contexts.

7. Consumer Equilibrium (as Related to Money)

- **Evidence:** [6970 (1998)]
- **Description:** Tests the concept of consumer equilibrium in the context of income and expenditure.
- **Demand Type:** Conceptual understanding, application to economic behavior.

Logical Study Sequence

- 1 Nature and Types of Money
- 2 Liquidity and Forms of Money
- 3 Money Supply and Money Multiplier
- 4 Interest Rates and Credit Terms
- 5 Financial Market Terminology Related to Money
- 6 Consumer Equilibrium (as Related to Money)
- 7 Digital and Crypto Forms of Money

Implicit Concepts and Prerequisites

- **Basic definitions:** Money, currency, deposit, asset, liquidity.
 - **Distinction between real and nominal values.**
 - **Understanding of financial markets and instruments.**
 - **Role of central banks and monetary policy.**
 - **Banking system structure and deposit types.**
 - **Digital technology basics (blockchain, cryptography) for digital money questions.**
 - **Economic behavior (consumer equilibrium, risk, and return).**
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Adjacent Subtopics (Potential Future Demand)

- **Evolution of Money:** Historical progression from barter to digital money.
 - **Functions of Money:** Medium of exchange, unit of account, store of value, standard of deferred payment.
 - **Money Measurement Aggregates (M1, M2, etc.):** Detailed breakdown and policy relevance.
 - **Shadow Banking and Non-Bank Money:** Money creation outside traditional banks.
 - **Inflation and Money:** Relationship between money supply and price levels.
 - **Regulation of Digital Currencies:** Legal, regulatory, and security aspects.
 - **International Monetary Systems:** Role of IMF, World Bank, and global currencies.
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Notes

- The subtopics above are strictly derived from the provided PYQs. Some areas (e.g., digital money) have only recently appeared, indicating emerging demand.
- The number of questions allows for moderate subdivision, but some subtopics (e.g., financial market terminology) group several related terms due to limited frequency.
- Adjacent subtopics are suggested based on logical progression from tested areas, not on external syllabus content.

2. Banking System

Tier: tier1 • Weightage: 19.5 • Total Qs: 0 • PYQs: 77 • Year span: 1999–2024 • Model: gpt-4.1 • Updated: 2026-01-07 14:01

TopicDemandMap: Indian Economy > Money, Banking and Market > Banking System

Explicit Subtopics Tested (with Evidence)

1. Structure and Types of Banks in India

- **Evidence:** 201, 1619, 6961, 2015, 1758, 2133, 331, 466, 806, 790, 597, 604, 965, 1190
- **Demand:** Identification and differentiation of various types of banks (public, private, cooperative, payment, small finance, regional rural, etc.), their establishment, ownership, and regulatory aspects.

2. Functions and Roles of Reserve Bank of India (RBI)

- **Evidence:** 1351, 1763, 2783, 43, 44, 232, 802, 1190
- **Demand:** RBI's functions as regulator, banker's bank, monetary authority, government's banker, and its policy tools (bank rate, liquidity, regulation of banks).

3. Monetary Policy Instruments and Banking Regulation

- **Evidence:** 2496, 234, 2696, 44, 232, 370, 2524, 2595, 43, 1190
- **Demand:** Understanding of CRR, SLR, bank rate, MCLR, Marginal Standing Facility, Net Demand and Time Liabilities, and regulatory mechanisms.

4. Financial Inclusion and Priority Sector Lending

- **Evidence:** 2596, 2646, 2788, 77, 101, 331, 233, 430, 1095, 466
- **Demand:** Concepts and schemes for financial inclusion (Lead Bank Scheme, Business Correspondents, SHGs, Payment/Small Finance Banks), and priority sector lending targets.

5. Non-Banking Financial Companies (NBFCs) and Other Financial Institutions

- **Evidence:** 2505, 7039, 1183
- **Demand:** Features, regulatory restrictions, and roles of NBFCs, and distinction from banks.

6. Banking Sector Reforms and Committees

- **Evidence:** 1361, 2452, 597
- **Demand:** Major banking reforms, committee recommendations (e.g., Narasimham), and historical milestones (nationalization, mergers).

7. Governance and Management of Banks

- **Evidence:** 604, 965, 802, 597
- **Demand:** Appointment and roles of bank management (Chairman, Board), Banks Board Bureau, and governance reforms.

8. Agency and Ancillary Functions of Banks

- **Evidence:** 2600, 7042
- **Demand:** Agency functions (e.g., tax collection, executor/trustee roles), and other non-core banking services.

9. Credit Mechanisms and Lending Practices

- **Evidence:** 2688, 370, 1133, 773
- **Demand:** Lending practices (teaser loans, syndicated loans, MCLR), risk evaluation (interest coverage ratio), and transparency in credit.

10. Capital Adequacy and International Banking Norms

- **Evidence:** 2132, 166, 517
- **Demand:** Basel norms, Capital Adequacy Ratio, and their significance for banking stability.

11. Digital Banking and Payment Systems

- **Evidence:** 356, 469, 430, 516, 507
- **Demand:** Core Banking Solutions, UPI, RuPay, MDR, ATM networks, and digital payment infrastructure.

12. Financial Markets and Instruments Related to Banking

- **Evidence:** 1270, 1242, 1911, 2354, 2376, 2442, 557, 618, 781, 1201, 1184, 1183, 911, 814
- **Demand:** Stock exchanges, government securities, treasury bills, commercial paper, participatory notes, money market and bond market instruments, and their relevance to banks.

13. Credit Rating Agencies and Risk Assessment

- **Evidence:** 7051, 964
- **Demand:** Role, regulation, and identification of credit rating agencies in India.

14. Chronology and Historical Evolution of Banking Institutions

- **Evidence:** 1515, 2452
- **Demand:** Sequence of establishment of major banks/financial institutions, and key legislative events.

15. Miscellaneous Concepts Related to Banking System

- **Evidence:** 6967, 1622, 7045, 615
- **Demand:** Balance sheet interpretation, debenture holders, joint-stock company features, and classification of bank assets.

Logical Study Sequence

- 1 Chronology and Historical Evolution of Banking Institutions
- 2 Structure and Types of Banks in India
- 3 Functions and Roles of Reserve Bank of India (RBI)
- 4 Monetary Policy Instruments and Banking Regulation
- 5 Governance and Management of Banks
- 6 Banking Sector Reforms and Committees
- 7 Non-Banking Financial Companies (NBFCs) and Other Financial Institutions
- 8 Financial Inclusion and Priority Sector Lending
- 9 Agency and Ancillary Functions of Banks
- 10 Credit Mechanisms and Lending Practices
- 11 Capital Adequacy and International Banking Norms
- 12 Digital Banking and Payment Systems
- 13 Financial Markets and Instruments Related to Banking
- 14 Credit Rating Agencies and Risk Assessment
- 15 Miscellaneous Concepts Related to Banking System

Implicit Concepts / Prerequisites Required

- **Basic understanding of financial instruments:** Deposits, loans, securities, bonds, shares, debentures.
- **Distinction between different financial institutions:** Banks vs. NBFCs, cooperative vs. commercial banks.

- **Monetary policy basics:** Inflation, liquidity, interest rates.
- **Corporate structure and balance sheet analysis.**
- **Regulatory framework:** RBI Act, Banking Regulation Act.
- **Risk management concepts:** Capital adequacy, credit risk, interest coverage.
- **Digital infrastructure and payment systems.**
- **Financial market operations:** Primary vs. secondary markets, money market vs. capital market.

Adjacent Subtopics (Potential Future Demand)

- **Banking Frauds and Cybersecurity:** Given the rise of digital banking, UPSC could test awareness of fraud prevention, cyber risk, and regulatory responses.
- **Green Banking and Sustainable Finance:** Environmental and social governance in banking operations.
- **Banking and Financial Sector's Role in Climate Change Mitigation:** Financing green projects, climate risk assessment.
- **Resolution of Stressed Assets:** Insolvency and Bankruptcy Code, Asset Reconstruction Companies.
- **Central Bank Digital Currency (CBDC):** RBI's digital rupee and its implications.
- **Shadow Banking:** Risks and regulatory challenges.
- **Cross-border Banking Regulations:** International banking operations and compliance.
- **Fintech Innovations:** Impact of technology companies on traditional banking.
- **Consumer Protection in Banking:** Ombudsman, grievance redressal, and customer rights.
- **Banking Sector's Response to Economic Shocks:** COVID-19 measures, crisis management.

Notes

- The above subtopics are strictly derived from the recurring themes and patterns in the provided PYQs.
- Some questions overlap in content, but each question is mapped to only one subtopic as per instructions.
- The breadth of PYQs allows for a granular breakdown, but some advanced or emerging areas (e.g., fintech, green banking) are not yet directly tested but are logical next steps.
- Foundational understanding of economic and financial concepts is necessary to tackle the variety of questions seen in this topic area.

3. Monetary Policy in India

Tier: tier1 • Weightage: 7.5 • Total Qs: 0 • PYQs: 31 • Year span: 1995–2024 • Model: gpt-4.1 • Updated: 2026-01-07 14:03

TopicDemandMap: Indian Economy > Money, Banking and Market > Monetary Policy in India

Explicit Subtopics Tested (with Evidence)

1. Money Supply Measures and Components

- **Evidence:** 6971, 1488, 7041
- **Demand:** Identification and classification of different measures of money supply (M1, M3, etc.), understanding their components and usage in the Indian context.

2. Monetary Policy Instruments: Quantitative and Qualitative Tools

- **Evidence:** 6972, 6973, 2550, 123, 7047, 187, 7044, 788
- **Demand:** Knowledge of various monetary policy tools (Bank Rate, CRR, SLR, Repo Rate, Open Market Operations, Margin Requirements, Selective Credit Controls), their definitions, mechanisms, and effects on the economy.

3. RBI's Functions and Role in Monetary Policy

- **Evidence:** 6964, 816, 969, 487
- **Demand:** Understanding of RBI's statutory functions (banker to government, lender of last resort, monetary policy formulation, price stability), and institutional mechanisms (e.g., Monetary Policy Committee).

4. Open Market Operations and Sterilization

- **Evidence:** 76, 2785, 1045
- **Demand:** Conceptual clarity on open market operations, their role in liquidity management, and the process of sterilization in the context of capital flows.

5. Interest Rate Policy and Transmission

- **Evidence:** 86, 262, 7037
- **Demand:** Relationship between money supply, demand for money, interest rates, and their macroeconomic effects (investment, currency appreciation/depreciation).

6. Impact of Monetary Policy on Inflation, Growth, and Currency

- **Evidence:** 969, 904, 7037
- **Demand:** Application of monetary policy actions to control inflation, manage currency stability, and influence growth; understanding policy responses to macroeconomic scenarios.

7. External Influences on Indian Monetary Policy

- **Evidence:** 807, 962, 904
- **Demand:** Awareness of how global monetary policy (e.g., US Federal Reserve actions), capital flows, and exchange rates interact with India's monetary policy.

8. Money Multiplier and Liquidity Concepts

- **Evidence:** 812
- **Demand:** Understanding the determinants and implications of the money multiplier, and the effect of banking habits and reserve ratios on liquidity.

9. Digital Currency and Prepaid Vouchers

- **Evidence:** 7040, 1134
- **Demand:** Features and implications of digital rupee and e-RUPI, their relation to monetary policy, and their operational aspects (sovereign backing, convertibility, technological requirements).

10. Government Debt Instruments and Internal Debt

- **Evidence:** 6963
- **Demand:** Classification of government borrowing instruments (market borrowing, treasury bills, special securities), and their place in internal debt.

11. Supply-side Economics (Peripheral)

- **Evidence:** 6969
- **Demand:** Basic understanding of supply-side economics as it relates to monetary policy, though not a core recurring theme.

12. RBI's Accounting Year

- **Evidence:** 6968
- **Demand:** Factual knowledge of the RBI's accounting period.

Logical Study Sequence

- 1 Money Supply Measures and Components
- 2 Money Multiplier and Liquidity Concepts
- 3 Monetary Policy Instruments: Quantitative and Qualitative Tools
- 4 RBI's Functions and Role in Monetary Policy
- 5 Open Market Operations and Sterilization
- 6 Government Debt Instruments and Internal Debt
- 7 Interest Rate Policy and Transmission
- 8 Impact of Monetary Policy on Inflation, Growth, and Currency
- 9 External Influences on Indian Monetary Policy
- 10 Digital Currency and Prepaid Vouchers
- 11 Supply-side Economics (Peripheral)
- 12 RBI's Accounting Year

Implicit Concepts / Prerequisites

- **Basic Macroeconomic Relationships:** Money supply, demand for money, inflation, interest rates, and growth.
- **Banking System Structure:** Types of deposits, liabilities, and the role of commercial banks.
- **Balance Sheet Concepts:** RBI's liabilities and assets, especially in the context of digital currency.
- **Government Securities Market:** How government borrowing instruments function and interact with monetary policy.
- **International Economics:** Capital flows, exchange rates, and their policy implications.
- **Policy Transmission Mechanisms:** How policy rates affect lending, investment, and broader economic variables.

Adjacent Subtopics (Potential Future UPSC Focus)

- **Targeted Long-Term Repo Operations (TLTRO) and New Liquidity Tools:** Not yet directly tested.
- **Inflation Targeting Framework:** Details of the inflation targeting agreement between RBI and Government.

- **Communication and Forward Guidance in Monetary Policy:** How RBI communicates its stance and the effects.
- **Financial Stability and Macroprudential Policy:** Broader stability tools beyond conventional monetary policy.
- **Interaction of Fiscal and Monetary Policy:** Coordination and conflicts, especially in crisis scenarios.
- **Impact of Digital Currencies on Monetary Transmission:** Deeper operational and policy implications.
- **Shadow Banking and Non-Banking Financial Companies (NBFCs):** Their role in monetary policy transmission.
- **Recent Innovations in Payment Systems:** UPI, CBDC pilots, and their monetary implications.

Notes

- The subtopics above are strictly derived from the provided PYQs. Some areas (e.g., digital currency) have only recent or isolated coverage, while core instruments and RBI functions recur frequently.
- A few questions touch on peripheral or factual points (e.g., supply-side economics, RBI accounting year) but do not form a major theme.
- The map does not include textbook headings or syllabus items not evidenced in the PYQs.
- Some subtopics (e.g., digital currency, external influences) are emerging and may see increased future demand.
- The demand for each subtopic ranges from factual recall to conceptual understanding and application to macroeconomic scenarios.

4. Money and Capital market

Tier: tier2 • Weightage: 3.0 • Total Qs: 0 • PYQs: 12 • Year span: 2000–2024 • Model: gpt-4.1 • Updated: 2026-01-07 14:03

TopicDemandMap: Indian Economy > Money, Banking and Market > Money and Capital market

Explicit Subtopics Tested

1. Stock Market Indices and Exchanges

- **Evidence:** [6965, 1494, 6960]
- **Demand Type:**

- Understanding the meaning and composition of stock indices (e.g., Sensex)
- Knowledge of major Indian stock exchanges and their comparative significance
- Awareness of index calculation methodology and constituent selection

2. Government Securities and Gilt-edged Market

- **Evidence:** [6966]
- **Demand Type:**
- Conceptual clarity on what constitutes the gilt-edged market
- Differentiation between government securities and other asset markets

3. Types of Financial Instruments: Debentures, Bonds, and Convertible Bonds

- **Evidence:** [6962, 966]
- **Demand Type:**
- Distinction between debenture holders and other stakeholders (e.g., shareholders, creditors)
- Features and implications of convertible bonds, including interest rate and conversion options

4. Exchange-Traded Funds (ETFs) and Financial Instruments

- **Evidence:** [7046, 1185]
- **Demand Type:**
- Characteristics and functioning of ETFs as financial instruments
- Ability to identify and classify various financial instruments

5. Capital and Revenue Expenditure; Financing Methods

- **Evidence:** [910]
- **Demand Type:**
- Differentiation between capital and revenue expenditure
- Understanding of debt and equity financing and their classification

6. Infrastructure Investment Trusts (InvITs) and Taxation

- **Evidence:** [1042]
- **Demand Type:**
- Features of InvITs, their tax treatment, and regulatory recognition

7. Classification of Markets: Capital vs. Money Market

- **Evidence:** [1046]
- **Demand Type:**
- Ability to classify different markets (government bonds, call money, treasury bills, stock market) as capital or money markets

8. Physical and Working Capital: Classification of Assets

- **Evidence:** [1188]
- **Demand Type:**
- Understanding of fixed vs. working capital
- Ability to categorize assets and items as per their capital classification

Logical Study Sequence

- 1 **Classification of Markets: Capital vs. Money Market** (1046)
- 2 **Government Securities and Gilt-edged Market** (6966)
- 3 **Stock Market Indices and Exchanges** (6965, 1494, 6960)
- 4 **Types of Financial Instruments: Debentures, Bonds, and Convertible Bonds** (6962, 966)
- 5 **Exchange-Traded Funds (ETFs) and Financial Instruments** (7046, 1185)
- 6 **Capital and Revenue Expenditure; Financing Methods** (910)
- 7 **Physical and Working Capital: Classification of Assets** (1188)
- 8 **Infrastructure Investment Trusts (InvITs) and Taxation** (1042)

Implicit Concepts / Prerequisites

- Basic understanding of financial markets and their segmentation (money vs. capital market)
- Familiarity with financial terminology: securities, bonds, shares, indices, capital, revenue, assets
- Knowledge of how financial instruments are structured and traded
- Awareness of taxation principles as applied to investment vehicles
- Distinction between ownership (equity) and creditorship (debt) in companies
- Understanding of asset classification (fixed vs. working capital)

Adjacent Subtopics (Potential Future Demand)

- Mechanisms of primary vs. secondary markets
- Role and functioning of regulatory bodies (e.g., SEBI) in capital markets
- Mutual funds and their comparison with ETFs
- Derivatives market (futures, options) and their role in capital markets
- Recent reforms or technological innovations in Indian capital markets (e.g., digital trading platforms)
- Impact of monetary policy on capital and money markets
- International capital flows and their effect on Indian markets

Notes

- The subtopics above are strictly derived from the provided PYQs; no external headings or syllabus items have been imported.
- Some subtopics (e.g., ETFs, InvITs) reflect recent trends in UPSC's focus on contemporary financial instruments.
- The number of PYQs is sufficient to identify several distinct subtopics, but some areas (e.g., InvITs, physical capital) are represented by only one question each, indicating either emerging or peripheral demand.
- There is a clear emphasis on both conceptual understanding and classification/application skills in the questions asked.

5. Inflation

Tier: tier2 • Weightage: 4.5 • Total Qs: 0 • PYQs: 23 • Year span: 2001–2023 • Model: gpt-4.1 • Updated: 2026-01-07 14:02

TopicDemandMap: Indian Economy > Money, Banking and Market > Inflation

Explicit Subtopics Tested (with Evidence)

1. Inflation Indices and Measurement in India

- **Evidence:** 1362, 1490, 2555, 7048, 130, 778
- **Demand:**
- Identification and comparison of major inflation indices (WPI, CPI, CPI-IW)

- Knowledge of base years, weights, and coverage (goods/services)
- Awareness of which agencies compile which indices
- Understanding the evolution and current usage of indices for policy

2. Food Inflation: Components and Contribution

- **Evidence:** 2612, 7054, 7056
- **Demand:**
- Factors driving food inflation (supply chain, consumption patterns)
- Relative contribution of food articles to overall inflation
- Identification of goods included in food inflation measurement

3. Concepts and Types of Inflation/Deflation

- **Evidence:** 2499, 2621, 67, 7055
- **Demand:**
- Definitions and distinctions: inflation, deflation, base effect, inflationary/recessionary gap
- Conceptual understanding of how inflation/deflation is measured and interpreted
- Effects of inflation on different economic agents (debtors, bondholders)

4. Causes of Inflation: Demand and Supply Factors

- **Evidence:** 83, 813, 7036
- **Demand:**
- Identification of demand-pull and supply-side causes
- Role of money supply, aggregate demand, fiscal stimulus, purchasing power
- Application to real-world scenarios

5. Effects and Consequences of Inflation

- **Evidence:** 85, 7050, 811
- **Demand:**
- Impact on currency value, exports/imports, bondholders, cost of borrowing
- Comparative analysis of different ways of financing deficits and their inflationary potential

6. Policy Measures to Control Inflation

- **Evidence:** 188, 7038
- **Demand:**

- Understanding of monetary and fiscal tools (interest rates, CRR, government expenditure)
- Role of RBI and government in inflation control
- Application of policy levers to hypothetical situations

7. Inflation and Unemployment: Phillips Curve

- **Evidence:** 7052
- **Demand:**
- Interpretation of the Phillips Curve (short-run and long-run)
- Relationship between inflation and unemployment (NAIRU concept)

8. Inflation-Indexed Instruments

- **Evidence:** 906
- **Demand:**
- Features and advantages of Inflation-Indexed Bonds (IIBs)
- Protection against inflation, impact on government borrowing, tax treatment

Logical Study Sequence

- 1 Concepts and Types of Inflation/Deflation
- 2 Inflation Indices and Measurement in India
- 3 Food Inflation: Components and Contribution
- 4 Causes of Inflation: Demand and Supply Factors
- 5 Effects and Consequences of Inflation
- 6 Policy Measures to Control Inflation
- 7 Inflation and Unemployment: Phillips Curve
- 8 Inflation-Indexed Instruments

Implicit Concepts / Prerequisites

- Basic understanding of price indices and their calculation
- Concepts of money supply, aggregate demand, and output
- Fiscal and monetary policy mechanisms (interest rates, CRR, deficit financing)

- Economic agents: debtors, bondholders, consumers, producers
- GDP, full employment, and macroeconomic equilibrium
- Difference between real and nominal values

Adjacent Subtopics (Potential Future Demand)

- Core vs. headline inflation (not directly tested but closely related)
- Stagflation and its policy implications
- Hyperinflation and historical episodes in India or globally
- Role of expectations in inflation dynamics
- Sectoral inflation (e.g., fuel, housing) beyond food
- International transmission of inflation (imported inflation)
- Measurement issues: rural vs. urban inflation, regional disparities

Notes

- The subtopics above are strictly derived from the provided PYQs; no external headings or syllabus items are imported.
- Some subtopics (e.g., food inflation, Phillips Curve) have only a few questions, indicating focused but not exhaustive coverage.
- The demand is both factual (indices, agencies, definitions) and conceptual/application-based (causes, effects, policy tools).
- The map reflects the breadth and depth of UPSC's approach to inflation, emphasizing both measurement and macroeconomic implications.

6. Insurance

Tier: tier3 • Weightage: 0.5 • Total Qs: 0 • PYQs: 1 • Year span: 2020 • Model: gpt-4.1 • Updated: 2026-01-07 14:02

TopicDemandMap: Indian Economy > Money, Banking and Market > Insurance

Explicitly Tested Subtopics

Cyber Insurance: Coverage and Benefits

- **Evidence:** question_id 791
- **Description:** Assesses knowledge of the types of risks and costs typically covered under cyber insurance policies for individuals in India, such as system restoration, consultant fees, legal defense, and property damage.
- **Type of Demand:**
 - Identification of specific inclusions/exclusions in insurance coverage
 - Understanding of practical scenarios where insurance applies
 - Ability to distinguish between direct and ancillary benefits

Logical Study Sequence

1 Cyber Insurance: Coverage and Benefits

Implicit Concepts / Prerequisites

- Basic understanding of insurance as a risk management tool
- Awareness of cyber risks and threats relevant to individuals
- Familiarity with general insurance terminology (e.g., coverage, claim, liability)
- Distinction between different types of losses (financial, legal, technical)

Adjacent Subtopics

- Types of insurance products (life, health, general, etc.) and their features
- Regulatory framework for insurance in India (e.g., IRDAI)
- Claims process and grievance redressal in insurance
- Insurance penetration and challenges in India
- Role of insurance in financial inclusion

Notes

- Only one PYQ is available for this topic, limiting the granularity of subtopic mapping.
- The current demand is focused narrowly on cyber insurance for individuals, specifically the scope of coverage.
- Broader or foundational aspects of insurance have not been tested in the provided PYQ, but are likely prerequisites for understanding the question.